

Supreme Court Judgments

R. v. Kloubakov

Collection: Supreme Court Judgments

Date: 2025-07-24

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Case number: 41017

Judges: Wagner, Richard; Karakatsanis, Andromache; Côté, Suzanne; Rowe, Malcolm; Martin, Sheilah; Kasirer, Nicholas; Jamal, Mahmud; O'Bonsawin, Michelle; Moreau, Mary

On appeal from: Alberta

Subjects: Constitutional law

Notes: [Case in Brief](#)
[SCC Case Information](#)



SUPREME COURT OF CANADA

CITATION: R. v. Kloubakov, 2025 SCC 25

APPEAL HEARD: November 12 and 13, 2024

JUDGMENT RENDERED: July 24, 2025

DOCKET: 41017

BETWEEN:

Mikhail Kloubakov and

Hicham Moustaine

Appellants

and

His Majesty The King

Respondent

- and -

**Attorney General of Canada,
Attorney General of Ontario,
Attorney General of Nova Scotia,
Attorney General of Manitoba,
Attorney General of British Columbia,
Vancouver Rape Relief Society,
Concertation des luttes contre l'exploitation sexuelle,
Aboriginal Women's Action Network,
Formerly Exploited Voices Now Educating,
London Abused Women's Centre,
Strength in Sisterhood,
Christian Legal Fellowship,
Women's Legal Education and Action Fund Inc.,
Amnesty International, Canadian Section (English Speaking),
HIV & AIDS Legal Clinic Ontario,
Coalition des organismes communautaires québécois de lutte contre le sida,
Action Canada for Sexual Health and Rights,
Canadian Civil Liberties Association,
Tiffany Anwar,
David Asper Centre for Constitutional Rights,
British Columbia Civil Liberties Association,
Ontario Coalition of Rape Crisis Centres,
Evangelical Fellowship of Canada and
Association for Reformed Political Action Canada**
Intervenors

CORAM: Wagner C.J. and Karakatsanis, Côté, Rowe, Martin, Kasirer, Jamal, O'Bonsawin and Moreau JJ.

REASONS FOR The Court

JUDGMENT:
(paras. 1 to 172)

NOTE: This document is subject to editorial revision before its reproduction in final form in the *Canada Supreme Court Reports*.

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Hicham Moustaine**

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Interveners

Indexed as: R. v. Kloubakov

2025 SCC 25

File No.: 41017.

2024: November 12, 13; 2025: July 24.

Present: Wagner C.J. and Karakatsanis, Côté, Rowe, Martin, Kasirer, Jamal, O'Bonsawin and Moreau JJ.

ON APPEAL FROM THE COURT OF APPEAL OF ALBERTA

Constitutional law — Charter of Rights — Right to security of person — Sex workers — Sexual services — Safety measures — Whether offences of receiving material benefit from sexual services and procuring person to offer or provide sexual services for consideration set out in Criminal Code infringe right to security of person of sex workers by preventing them from taking necessary safety measures — Canadian Charter of Rights and Freedoms, s. 7 — Criminal Code, R.S.C. 1985, c. C-46, ss. 286.2, 286.3.

In 2014, Parliament enacted Bill C-36, the *Protection of Communities and Exploited Persons Act* (“PCEPA”), as a new paradigm to regulate the sale of sexual services in Canada in response to the Court’s decision in *Canada (Attorney General) v. Bedford*, 2013 SCC 72, [2013] 3 S.C.R. 1101. In *Bedford*, several criminal offences related to the sale of sexual services had been declared unconstitutional because they restricted the legal activity of selling sexual services in a way that prohibited sex workers from taking safety measures to protect themselves, such as selling sex from fixed indoor locations and hiring drivers and bodyguards. The PCEPA made purchasing sex a crime, and added new offences to the *Criminal Code*, including receiving a material benefit from sexual services (s. 286.2), and procuring a person to offer or provide sexual services for consideration (s. 286.3).

The accused, who worked as drivers in an escort business, were charged in 2019 with several criminal offences, including the material benefit and procuring offences in ss. 286.2 and 286.3. They were convicted of these two offences; however, the trial judge held that these offences prohibited sex workers from taking the safety measures contemplated in *Bedford* and therefore negatively affected their security of the person, and infringed s. 7 of the *Charter*. The trial judge ordered a stay of proceedings. The Court of Appeal restored the accused’s convictions, holding that the impugned offences did not prohibit sex workers from

taking safety measures and therefore did not infringe s. 7.

Held: The appeal should be dismissed.

Applying the modern principle of statutory interpretation, neither the material benefit offence nor the procuring offence prohibits the safety measures contemplated in *Bedford*. As a result, the offences do not engage sex workers' security of the person and do not infringe s. 7 of the *Charter*. The convictions of the accused are affirmed.

Before evaluating the constitutionality of statutory provisions, it is first necessary to interpret the provisions at issue in accordance with the modern principle, under which the words of an Act are to be read in their entire context and in their grammatical and ordinary sense harmoniously with the scheme of the Act, the object of the Act, and the intention of Parliament. The statutory provisions must be interpreted based on their text, context, and purpose to determine their scope.

In this case, the new offences added to the *Criminal Code* have two purposes: (1) to reduce the demand for sex work; and (2) to protect sex workers from the risks of violence, abuse, and exploitation associated with the sex work industry. The first purpose is pursued with a view to discouraging entry into the commercial sex trade, deterring participation in it, and ultimately abolishing it to the greatest extent possible, in order to protect individuals, communities, human dignity, and equality, given the social harm, violence, and exploitation of marginalized and vulnerable persons, especially women and children, that Parliament sees as inherent in sex work. The second purpose has two aspects: (a) to protect sex workers from third parties who commercialize the sale of sexual services; and (b) to allow sex workers to protect themselves from the dangers posed by purchasers of sexual services. The first aspect is reflected in, among other things, the material benefit and procuring offences, which recognize that third parties who profit from the sale of sexual services cause, perpetuate, and exploit the harms of the commercial sex trade. Under the second aspect, persons who sell their own sexual services are provided with an immunity from prosecution. Both aspects seek to protect individuals, communities, human dignity, and equality.

Correctly interpreted, the material benefit offence does not prevent sex workers from taking the safety measures identified in *Bedford*. The purpose of the material benefit offence is to criminalize receiving a material benefit from the sale of sexual services of others in exploitative circumstances, including by preventing third parties from profiting from the sex work of others, while allowing sex workers to take safety measures and to enter into legitimate family and business relationships. The material benefit offence prohibits persons from receiving a financial or other material benefit knowing that it is obtained by, or derived directly or indirectly from, the purchase of the sexual services of others, but its scope is narrowed by legislated exceptions in s. 286.2(4), which allow sex workers to protect themselves and to enter into business arrangements through which they can hire staff. The legislated exceptions, however, exclude five circumstances that Parliament regards as exploitative, including two circumstances challenged in the instant case: when a material benefit is obtained “in the context of a commercial enterprise that offers sexual services for consideration” (s. 286.2(5)(e)); and when a person provides “a drug, alcohol or any other intoxicating substance” to a sex worker for the purpose of aiding or abetting that person to sell sexual services (s. 286.2(5)(c)).

Section 286.2(5)(e) does not prevent sex workers from taking safety measures. The term “commercial enterprise” is not defined in the *PCEPA*; any interpretation of this provision must consider its purpose in the context of the *PCEPA* as a whole. The heading in the *Criminal Code* above the provisions added by the *PCEPA*, “Commodification of Sexual Activity”, informs the interpretation of all of these provisions, including the term “commercial enterprise”. A “commercial enterprise” necessarily involves the making of a profit derived from the commodification of sexual activity by a third party. Accordingly, the key question for identifying a commercial enterprise is whether a third party shares in the profits of another person’s sex work. There is no requirement for factually exploitative conduct or for the profits to be excessive or unreasonable. The prohibition on “commercial enterprises” instead targets the inherent exploitation that Parliament sees as arising from commodification and commercialization of sex work by third parties. It will be for the courts to determine on a case-by-case basis whether any given enterprise is a “commercial enterprise” engaged in the commodification of sexual activity, based on specific facts and on a contextual and purposive reading of the term. However, certain types of conduct are necessarily excluded

from the scope of a “commercial enterprise”: an individual who sells their own sexual services, whether independently or cooperatively with others; a third party, such as a driver, receptionist, bodyguard, or manager, who provides security services to persons who sell their own sexual services under a cooperative arrangement; sex workers who operate indoors from a not-for-profit “safe house”; and an individual or entity that merely rents premises to an independent sex worker and does not participate in commodifying sexual activity.

With respect to s. 286.2(5)(c), this provision also does not prevent sex workers from taking safety measures, as it does not criminalize the act of a third party in giving a Tylenol pill to a person who sells their own sexual services. Although the word “drug” in the English version of the provision might refer to both narcotics and other medications such as Tylenol, any ambiguity is resolved by the narrower word “*drogue*” in the French version, which only refers to narcotics, and not to other medications. In addition, the word “drug” in s. 286.2(5)(c) is included in a list with the other associated words “alcohol and any other intoxicating substance”; these words all share a common feature, namely, that they only refer to intoxicating substances. A Tylenol pill is not an intoxicating substance. This interpretation is also consistent with the objective of the *PCEPA* as a whole to target the exploitation of sex workers, including by third parties who prey on drug addictions in order to exercise power and control over sex workers.

The procuring offence also does not prevent sex workers from taking safety measures. The purpose of the procuring offence is to prevent the procurement of persons for the purpose of facilitating the purchase of sexual services. It prohibits the procuring of a person in order to offer or provide sexual services for consideration, as well as the recruiting, holding, concealing, or harbouring of a person, or exercising control, direction, or influence over the movements of that person, for the purpose of facilitating the purchase of sexual services. The offence deters procurers from directly or indirectly encouraging others to enter the commercial sex trade. It necessarily requires the procurer’s active involvement in the sale of another person’s sexual services by insisting on a high *mens rea* of a specific intent to facilitate the purchase of sexual services. The prohibited conduct must be for the purpose of facilitating the offence of purchasing sex, by inducing a person to offer sexual services for purchase. The accused must not merely knowingly or

unwittingly facilitate the offence of purchasing sex, but must also specifically intend their actions to induce a person to offer sexual services for purchase. The accused's intention is determined subjectively, with reference to the nature of the relationship.

A person who merely gives advice on safe practices to a sex worker would not, without more, be guilty of procuring, as this does not involve causing, inducing, or having a persuasive effect on a sex worker to offer or provide sexual services for consideration. Nor does it involve conduct specifically intended to facilitate the offence of purchasing sex. Similarly, merely renting a room to a sex worker from which they could sell sexual services also cannot, without more, constitute procuring, as such conduct lacks the necessary *mens rea* — i.e., the specific intention to facilitate the purchase of sex by inducing a person to offer sexual services for purchase. While renting a room to a sex worker would facilitate the act of selling sex, it would not constitute procuring, because Parliament has expressly designed the new offences to distinguish between the purchase and the sale of sexual services: the former remains criminalized, while the latter benefits from an immunity from prosecution. As well, third parties such as receptionists, managers, or drivers employed by sex workers, who work to increase their safety, are not captured by the procuring offence, because such employees lack the necessary *mens rea*, unless they have the specific intent to facilitate the purchase of sex. By contrast, a commercial agency that recruits persons to sell sexual services, provides premises for transactions, advertises to potential purchasers, makes appointments, and collects agency fees would engage liability under the procuring offence. Such a commercial agency would be directly engaged in promoting the commodification of sexual services, contrary to the first aspect of the safety-related purpose of the new offences.

As to whether the material benefit and procuring offences infringe s. 7 of the *Charter*, the established legal framework under s. 7 proceeds in two steps. At the first step, the claimant must establish that the impugned legislative provision deprives someone of life, liberty, or security of the person. This requires showing a sufficient causal connection between the legislation and the alleged deprivation or negative impact on the s. 7 interest; even the risk of such a deprivation suffices to engage s. 7. At the second step, the claimant must show that this deprivation is not in accordance with the principles of fundamental

justice — for example, if the law is arbitrary, overbroad, or grossly disproportionate.

Properly interpreted in accordance with the modern principle of statutory interpretation, both the material benefit and procuring offences permit sex workers, or any individuals they hire, to take the safety measures contemplated in *Bedford*, such as using fixed indoor locations, hiring the services of third parties to mitigate safety risks, providing sexual services in cooperation with other sex workers, or advising each other on safe working conditions. Thus, neither offence engages sex workers' security of the person. With respect to sex workers' right to life, consideration of the risks of violence or even death faced by sex workers would duplicate the analysis regarding the right to security of the person. As for the right to liberty, whether s. 7 of the *Charter* protects a fundamental right to sell sexual services as an aspect of an individual's right to liberty amounts to a new constitutional issue. New constitutional issues will only be heard in rare cases, taking into account all of the circumstances, including the state of the record, fairness to all parties, the importance of having the issue resolved, its suitability for decision and the broader interests of the administration of justice. In the instant case, it would be imprudent to decide this issue, as it was not considered in the courts below.